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CUET UG

Accountancy

Dissolution of a Partnership Firm

Official Syllabus Unit III · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Accountancy 301, Unit III)	Skills the questions test
Meaning & Modes	Meaning of dissolution of partnership and partnership firm, types of dissolution of a firm	Distinguishing dissolution of partnership from firm; identifying grounds under Sections 40–44.
Settlement of Accounts	Settlement of accounts – Section 48 and Section 49 rules	Applying Section 48 loss priority & asset order; applying Section 49 firm vs private debt rules.
Realisation Account	Preparation of Realisation Account, and other related accounts: Capital Accounts of Partners, Loan Account of Partner and Cash/Bank A/c	Transferring assets/liabilities; recording asset sales, partner takeovers, and liability discharge.
Asset-Liability Swaps	Accounting treatment of assets transferred to creditors in full or partial satisfaction	Mastering the "No-Entry Rule" for creditor swaps and recording only net cash settlements.
Realisation Expenses	Accounting treatment of realisation expenses (firm bears/pays, partner bears/pays, remuneration)	Distinguishing bearing responsibility from paying agency; handling partner commission.

EXAM PATTERN

CUET UG Exam Blueprint: Dissolution of Partnership Firm (Code 301, Unit III) contributes 5–7 questions in the 50-question paper. NTA specifically targets the priority order of settlement under Section 48, the distinction between a partner's loan and a partner's relative loan, the "No-Entry Rule" when creditors accept firm assets, and the 5 distinct permutations of realisation expenses.

1. Meaning and Modes of Dissolution

Dissolution marks the legal and operational conclusion of a partnership business. The Indian Partnership Act, 1932 draws a fundamental distinction between the **dissolution of a partnership** and the **dissolution of a partnership firm**.

- **Dissolution of Partnership (Reconstitution):** Only the existing contractual relationship among partners terminates; the reconstituted firm continues its commercial operations under a modified agreement (e.g. change in PSR, admission, retirement, or death). The firm does not cease to exist.

- **Dissolution of Partnership Firm (Complete Closure):** The legal entity dissolves completely. All commercial operations cease, all assets are sold or realised, all external liabilities are discharged, and the remaining balances are distributed among partners, closing all books of account.

Comparative Legal Distinction

Basis of Distinction	Dissolution of Partnership	Dissolution of Partnership Firm
Continuation of Business	Business continues under a fresh agreement.	Business is completely terminated; operations cease.
Closure of Books	Books remain open; revaluation entries passed.	Books of accounts are permanently closed.
Settlement of Assets/Liabilities	Assets & liabilities are revalued in books.	Assets are realised & liabilities discharged.
Economic Relationship	Relationship changes among remaining partners.	All economic relationships terminate completely.
Court Intervention	Voluntary; court never orders reconstitution.	Court may order dissolution under Section 44.
Mutual Scope	Does not require dissolution of the firm.	Necessarily involves dissolution of partnership!
Final Accounts	Revaluation Account & Balance Sheet prepared.	Realisation Account & Cash/Bank A/c prepared.
Realisation of Cash	Assets and liabilities not realised in cash.	Assets sold for cash; cash used to clear debts.

Statutory Modes of Dissolution (Sections 40–44)

The Indian Partnership Act, 1932 specifies five distinct legal modes through which a partnership firm is dissolved:

1. **Dissolution by Agreement (Section 40):** A firm may be dissolved with the **unanimous consent of all partners** or in accordance with an express contract between the partners.
2. **Compulsory Dissolution (Section 41):** A firm is compulsorily dissolved by operation of law:
   - When all partners, or all partners except one, are adjudicated **insolvent**; or
   - When an event occurs which renders the business of the firm **unlawful** to carry on (e.g. legislation banning manufacture/trade of the product).
3. **Dissolution on the Happening of Certain Contingencies (Section 42):** Subject to contract between the partners, a firm dissolves upon:
   - The expiry of the fixed term for which the partnership was constituted;
   - The completion of the specific venture or adventure;
   - The **death of a partner**; or
   - The **adjudication of a partner as an insolvent**.

4. **Dissolution by Notice in Partnership at Will (Section 43):** Where the partnership is at will, any partner may dissolve the firm by giving **notice in writing** of his intention to dissolve to all other partners. The firm dissolves from the date mentioned in the notice, or from the date of communication if no date is stated.
5. **Dissolution by Court (Section 44):** At the suit of a partner, the court may order dissolution of the firm on any of the following grounds:
   - A partner becomes of **unsound mind**;
   - A partner becomes **permanently incapable** of performing partner duties;
   - A partner is guilty of **misconduct** prejudicial to the business;
   - A partner wilfully or persistently commits **breach of partnership agreement**;
   - A partner transfers the **whole of his interest** to a third party;
   - The business of the firm can only be carried on at a **perpetual loss**; or
   - Any other ground rendering it **just and equitable** that the firm be dissolved (e.g. deadlock in management, destruction of mutual trust).

EVERYDAY EXAMPLE – THE SHARED POP-UP STALL

Two chefs run a weekend food truck. If one chef leaves and another steps in to keep the kitchen open, that is **reconstitution** (dissolution of partnership). But if the municipal council cancels the commercial permit, the truck is parked, kitchen equipment sold off, creditors paid, and remaining money divided—that is **dissolution of the firm**. No business survives.

2. Settlement of Accounts upon Dissolution (Sections 48 & 49)

Upon dissolution, the proceeds realised from the sale of assets, together with any contributions by partners to meet capital deficiencies, must be applied strictly in accordance with statutory priorities.

Treatment of Losses (Section 48(a))

Losses, including deficiencies of capital, must be paid in the following mandatory statutory order:

1. First, out of the **undistributed profits** of the firm;
2. Second, out of the **partners' capital balances**; and
3. Lastly, if necessary, by the partners individually in their **profit-sharing ratio**.

Application of Assets (Section 48(b))

The assets of the firm, including any sums contributed by partners to make up deficiencies of capital, must be applied in the following water-tight priority order:

1. **First Priority: Payment of Outside Debts:** Discharging debts of the firm owed to third parties (Sundry Creditors, Bills Payable, Bank Overdraft, and **loans from partners' relatives** such as spouse or sibling).
2. **Second Priority: Payment of Partner Advances:** Paying to each partner rateably (**pro-rata**) what is due to him from the firm for advances/loans distinguished from capital.
3. **Third Priority: Repayment of Partner Capital:** Paying to each partner rateably what is due to him on account of capital.

4. **Fourth Priority: Distribution of Surplus:** The ultimate surplus (residual balance), if any, is divided among the partners strictly in their **profit-sharing ratio** (never their capital ratio!).

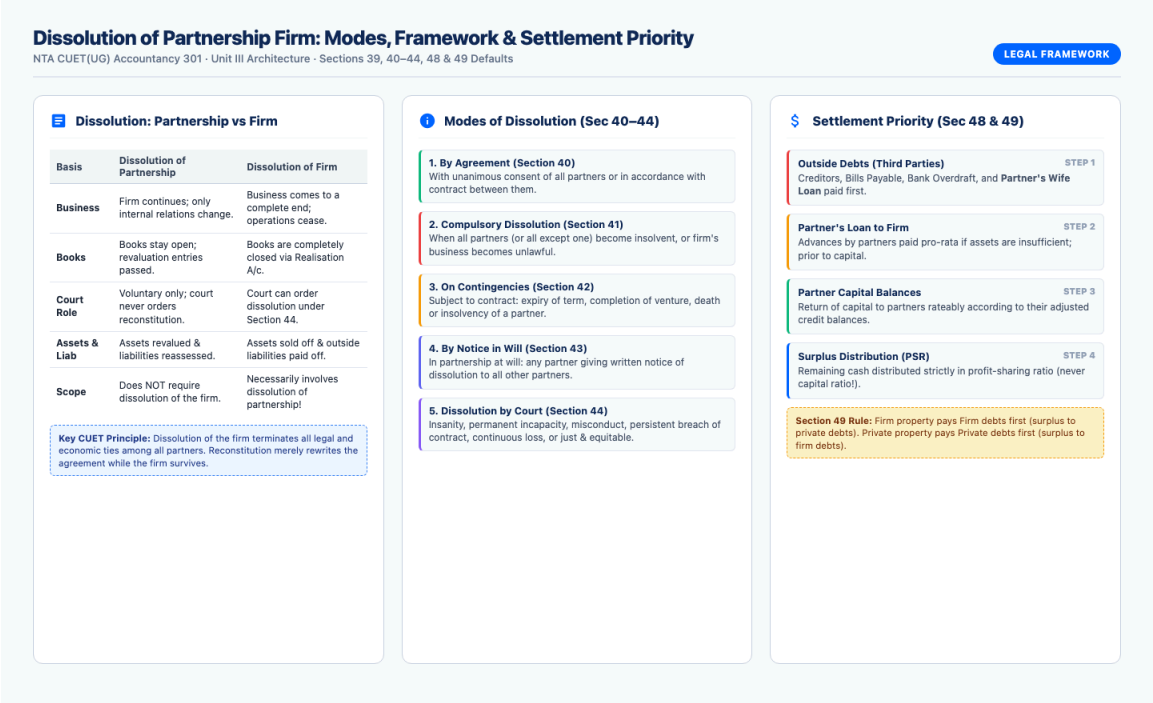


Figure 1: Dissolution Framework: Modes of Dissolution, Section 48 Settlement Order, and Section 49 Debt Rules.

Section 49: Firm Debts vs Private Debts

Where both firm debts and private debts of partners co-exist:

SECTION 49 PRIORITY RULES

- **Firm Property:** Applied **first** in payment of the debts of the firm. If any surplus remains, the share of each partner is applied in payment of his separate private debts.
- **Private Property:** Applied **first** in payment of the separate private debts of that partner. The surplus, if any, is applied in payment of the debts of the firm if firm liabilities exceed firm assets.

WORKED EXAMPLE — SECTION 48 & 49 PRIORITY APPLICATION

On dissolution of a firm, assets realise ₹1,80,000. Liabilities include: Creditors ₹1,00,000; Loan from Partner A ₹40,000; Loan from A's wife ₹30,000; Partner Capitals: A ₹50,000, B ₹30,000. How are proceeds applied?

- **Step 1 (Outside Debts):** Creditors (₹1,00,000) + A's Wife Loan (₹30,000) = ₹1,30,000 paid first. Remaining Cash $= 1,80,000 - 1,30,000 =$ ₹50,000.
- **Step 2 (Partner's Loan):** Partner A's Loan of ₹40,000 paid next. Remaining Cash $= 50,000 - 40,000 =$ ₹10,000.
- **Step 3 (Partner Capitals):** Total capitals due are ₹80,000, but only ₹10,000 cash remains. The ₹10,000 is distributed rateably between A and B in their capital ratio (5 : 3): A receives $10,000 \times \frac{5}{8} =$ ₹6,250; B receives $10,000 \times \frac{3}{8} =$ ₹3,750.

- **Capital Deficiency:** The unpaid balance (₹70,000) represents a dissolution loss borne by A and B in their profit-sharing ratio.

3. Accounting Treatment: The Realisation Account

To close the books of a dissolving firm, a temporary ledger account called the **Realisation Account** is opened.

- **Nature of Account:** Realisation Account is a **Nominal Account**. Its ultimate purpose is to determine the net profit or loss arising from the realization of assets and discharge of liabilities.
- **Closing the Ledger:** Once all assets are disposed of and outside liabilities paid, the profit or loss on realization is transferred to **Partners' Capital Accounts in their Profit-Sharing Ratio**.

Step 1: Transfer of Balance Sheet Items (At Book Values)

Ledger Side	Accounts Transferred	Accounts Strictly EXCLUDED

Debit of Realisation A/c
`Realisation A/c Dr.`
`To Assets A/c (BV)`
	All tangible and intangible assets at book value:
	▸ Debtors (**Gross Book Value**)
	▸ Stock, Furniture, Plant, Land
	▸ Goodwill, Patents, Trademarks
	▸ Prepaid Expenses
		▸ Cash in Hand & Cash at Bank
		▸ Fictitious Assets (P&L Dr., Advertisement Suspense)
		▸ Partner's Loan to Firm (Debit balance)
		▸ Partner Capital / Current A/c (Debit balance)

Credit of Realisation A/c
`Liabilities A/c (BV) Dr.`
`To Realisation A/c`
	All outside third-party liabilities:
	▸ Sundry Creditors & Bills Payable
	▸ Bank Overdraft & Bank Loan
	▸ Partner's Relative Loan (**e.g. Wife Loan**)
	▸ Outstanding Expenses
	▸ **Provision for Doubtful Debts**
	▸ **Investment Fluctuation Reserve**
		▸ Partner's Capital & Current Accounts
		▸ Undistributed Reserves (General Reserve, P&L Cr.)
		▸ **Partner's Loan to the Firm** (settled directly via Bank)
		▸ Workmen Compensation Reserve (**except claim portion**)

Step 2: Disposal of Assets

1. **When an asset is sold for cash:**

Bank / Cash A/c Dr. [actual amount realised]

To Realisation A/c Cr.

2. **When an asset is taken over by a partner:**

Partner's Capital A/c Dr. [agreed takeover value]

To Realisation A/c Cr.

3. **When an unrecorded asset realises cash or is taken over:**
   - Realised in cash: `Bank A/c Dr.` to `Realisation A/c Cr.`
   - Taken over by partner: `Partner's Capital A/c Dr.` to `Realisation A/c Cr.`

   (No asset account is opened in the ledger!)

Step 3: Discharge of Liabilities

1. **When an outside liability is paid in cash:**

Realisation A/c Dr. [actual amount paid]

To Bank / Cash A/c Cr.

> [!IMPORTANT] > Even if an outside liability is silent regarding payment, it **must be paid in full** at book value!

2. **When a liability is assumed/taken over by a partner:**

Realisation A/c Dr. [agreed value]

To Partner's Capital A/c Cr.

3. **When an unrecorded liability is discharged:** `Realisation A/c Dr.` to `Bank A/c Cr.` (paid directly through Realisation A/c).

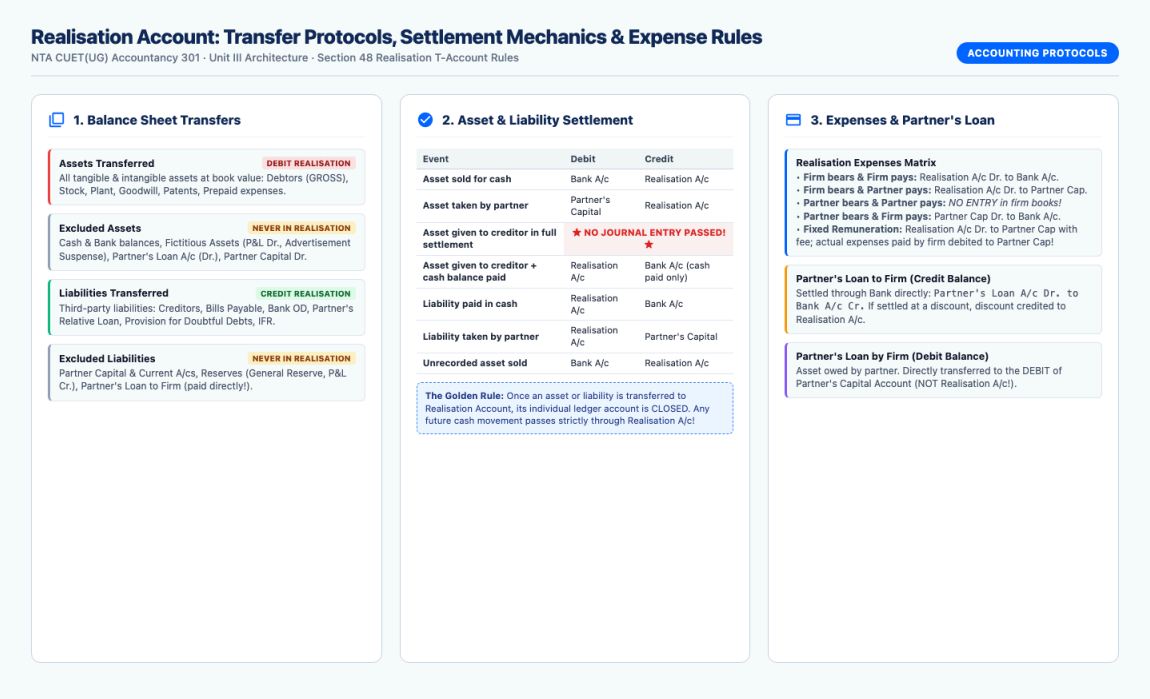


Figure 2: Realisation Protocols: Transfer Rules, Asset-Liability Swaps, and Expense Accounting Matrix.

4. Special Transactions & Asset-Liability Swaps

The "No-Entry Rule" for Asset-Liability Swaps

When a creditor or any external liability accepts a firm's asset in part or full satisfaction of their claim:

- **Full Settlement:** If a creditor of ₹50,000 accepts machinery of book value ₹60,000 (or ₹40,000) in **full settlement**:

  NO JOURNAL ENTRY IS PASSED IN THE BOOKS OF THE FIRM!

  Reason: Both the asset and the liability were already transferred to Realisation Account in Step 1. Passing an entry would cause double counting!
- **Partial Settlement with Cash Paid to Creditor:** If a creditor of ₹50,000 accepts machinery valued at ₹35,000 and the remaining ₹15,000 in cash: Record **only the cash paid**: `Realisation A/c Dr. ₹15,000` to `Bank A/c Cr. ₹15,000`.
- **Partial Settlement with Cash Received from Creditor:** If a creditor of ₹30,000 accepts equipment valued at ₹42,000 and refunds ₹12,000 cash to the firm: Record **only the cash received**: `Bank A/c Dr. ₹12,000` to `Realisation A/c Cr. ₹12,000`.

Treatment of Specific Reserves upon Dissolution

1. **Workmen Compensation Reserve (WCR):**
   - **Case A (No Claim):** Entire WCR credited to Partners' Capital A/cs in PSR (`WCR A/c Dr.` to `Partners' Capital A/cs Cr.`).
   - **Case B (Claim < Reserve):** Amount equal to claim transferred to Realisation A/c (`WCR A/c Dr.` to `Realisation A/c Cr.`); remaining surplus credited to Partners' Capital A/cs in PSR.
   - **Case C (Claim = Reserve):** Entire WCR transferred to Realisation A/c (`WCR A/c Dr.` to `Realisation A/c Cr.`).
   - **Case D (Claim > Reserve):** Entire WCR transferred to Realisation A/c. Actual claim paid debited to Realisation A/c (`Realisation A/c Dr.` to `Bank A/c Cr.`).
2. **Investment Fluctuation Reserve (IFR):**
   - Transferred to the **Credit of Realisation Account** if Investments appear on the asset side.
   - If no investments exist on the asset side, IFR is distributed directly among partners in PSR.

Treatment of Goodwill upon Dissolution

Unlike reconstitution (where AS-26 prohibits raising goodwill), on dissolution:

1. **Goodwill in Balance Sheet:** Transferred to the **Debit of Realisation Account** at book value along with other commercial assets. It is **not** written off to capital accounts!
2. **Goodwill Realised:** If realised for cash, `Bank A/c Dr.` to `Realisation A/c Cr.` If taken by partner, `Partner's Capital A/c Dr.` to `Realisation A/c Cr.`
3. **Goodwill Silent:** If the problem is silent regarding the realisation value of goodwill, its realisable value is taken as **NIL** (zero).

Accounting for Partner's Loan

A partner's advance/loan to the firm carries a higher repayment priority than partner capital under Section 48:

1. **Partner's Loan to Firm (Credit Balance):**
   - It is **never transferred to Realisation Account**.
   - A separate **Partner's Loan Account** is prepared and settled directly:

     Partner's Loan A/c Dr. [book value]

     To Bank A/c Cr.

   - **If settled at discount:** `Partner's Loan A/c Dr.` to `Bank A/c Cr.` (amount paid) + `Realisation A/c Cr.` (discount/gain).
2. **Partner's Loan from Firm (Debit Balance / Asset):**
   - Owed by the partner to the firm. It is **transferred directly to the Debit of Partner's Capital Account**: `Partner's Capital A/c Dr.` to `Loan to Partner A/c Cr.`

5. Realisation Expenses Deep Dive

Accounting for dissolution expenses depends on two distinct factors: **who bears the expense** and **who pays the expense**.

Who Bears?	Who Pays?	Mandatory Journal Entry in Firm Books
Firm Bears	**Firm Pays**	`Realisation A/c Dr.` to `Bank A/c Cr.`
Firm Bears	**Partner Pays**	`Realisation A/c Dr.` to `Partner's Capital A/c Cr.`
Partner Bears	**Partner Pays**	bold("NO ENTRY") *(personal transaction of partner)*
Partner Bears	**Firm Pays on behalf**	`Partner's Capital A/c Dr.` to `Bank A/c Cr.`
Partner Remuneration	**Partner Bears All**	1. For remuneration: `Realisation A/c Dr.` to `Partner's Capital A/c Cr.` 2. If firm pays actual expenses: `Partner's Capital A/c Dr.` to `Bank A/c Cr.`

6. Comprehensive Master Worked Problems

MASTER PROBLEM 1 — COMPREHENSIVE DISSOLUTION SEQUENCE

A and B share profits equally. On 31st March, they decide to dissolve the firm. Their balance sheet is as follows:

Liabilities	₹	Assets	₹
Sundry Creditors	20,000	Cash at Bank	5,000
A's Loan Account	10,000	Sundry Debtors	25,000
A's Capital Account	50,000	Stock in Trade	30,000
B's Capital Account	40,000	Plant & Machinery	60,000
Total	**1,20,000**	**Total**	**1,20,000**

Dissolution Terms:

1. Plant & Machinery realised ₹55,000; Stock realised ₹32,000; Debtors realised ₹22,000.
2. Sundry Creditors were paid in full. Realisation expenses of ₹3,000 paid by the firm.

Realisation Account

Dr. Particulars	₹	Cr. Particulars	₹
To Plant & Machinery	60,000	By Sundry Creditors	20,000
To Stock in Trade	30,000	By Bank A/c (Assets Realised):	
To Sundry Debtors	25,000	Machinery: 55,000	
To Bank A/c (Creditors paid)	20,000	Stock: 32,000	
To Bank A/c (Expenses)	3,000	Debtors: 22,000	1,09,000
		By Realisation Loss transferred to:	
		A's Capital A/c (1/2)	4,500
		B's Capital A/c (1/2)	4,500
Total	**1,38,000**	**Total**	**1,38,000**

Partners' Capital Accounts

Dr. Particulars	A (₹)	B (₹)	Cr. Particulars	A (₹)	B (₹)
To Realisation Loss	4,500	4,500	By Balance b/d	50,000	40,000
To Bank A/c (Final settlement)	45,500	35,500			
Total	**50,000**	**40,000**	**Total**	**50,000**	**40,000**

Bank Account

Bank Receipts	₹	Bank Payments	₹
To Balance b/d	5,000	By Realisation (Creditors)	20,000
To Realisation (Assets)	1,09,000	By Realisation (Expenses)	3,000
		By A's Loan A/c	10,000
		By A's Capital A/c	45,500

Bank Receipts	₹	Bank Payments	₹
		By B's Capital A/c	35,500
Total	**1,14,000**	**Total**	**1,14,000**

MASTER PROBLEM 2 — COMPLEX SETTLEMENTS, CREDITOR SWAPS & CAPITAL DEFICIENCY

X and Y share profits in 3 : 2. On dissolution, the balance sheet shows: Sundry Creditors ₹30,000; Loan from Mrs. X ₹20,000; Capitals: X ₹40,000, Y (Dr. balance) ₹10,000. Assets include: Furniture ₹25,000; Stock ₹35,000; Bank ₹5,000.

- Creditors accept Furniture of ₹25,000 at ₹22,000 and the remaining ₹8,000 in cash.
- Mrs. X's loan is settled with interest of ₹1,000 (total ₹21,000).
- Stock realises ₹28,000. Realisation expenses are ₹2,000 paid by firm.
- Partner Y is solvent and brings in necessary cash to settle his capital deficiency.

Realisation Account

Dr. Particulars	₹	Cr. Particulars	₹
To Furniture A/c	25,000	By Sundry Creditors	30,000
To Stock in Trade	35,000	By Loan from Mrs. X	20,000
To Bank (Creditors cash)	8,000	By Bank (Stock realised)	28,000
To Bank (Mrs. X loan settled)	21,000	By Realisation Loss: X (3/5)	7,800
To Bank (Expenses)	2,000	Y (2/5)	5,200
Total	**91,000**	**Total**	**91,000**

Partners' Capital Accounts

Dr. Particulars	X (₹)	Y (₹)	Cr. Particulars	X (₹)	Y (₹)
To Balance b/d	—	10,000	By Balance b/d	40,000	—
To Realisation Loss	7,800	5,200	By Bank (Cash brought)	—	15,200
To Bank (Final payment)	32,200	—			
Total	**40,000**	**15,200**	**Total**	**40,000**	**15,200**

Bank Account

Bank Receipts	₹	Bank Payments	₹
To Balance b/d	5,000	By Realisation (Creditors)	8,000
To Realisation (Stock)	28,000	By Realisation (Mrs. X loan)	21,000
To Y's Capital A/c (Deficit)	15,200	By Realisation (Expenses)	2,000
		By X's Capital A/c	32,200

Bank Receipts	₹	Bank Payments	₹
Total	**48,200**	**Total**	**48,200**

Key Analytical Takeaways:

1. **Creditor Asset Swap:** Furniture accepted at ₹22,000 settles ₹22,000 debt without journal entry. Only remaining ₹8,000 cash paid is recorded.
2. **Deficit Settlement:** Y brings in ₹15,200 cash, exactly providing funds for X's ₹32,200 final payout.

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7. Synthesis & Strategic Revision Framework

The complete dissolution workflow operates across a strict sequence of ledger closures:

1. **Step 1 (Realisation A/c):** Asset sales and liability discharges close the operating entity and reveal net profit or loss.
2. **Step 2 (Partner's Loan A/c):** Internal loans are cleared directly through Bank after outside creditors.
3. **Step 3 (Partners' Capital A/cs):** Reserves, realisation profit/loss, and drawings are absorbed to determine final claims or deficiencies.
4. **Step 4 (Bank/Cash A/c):** Final cash receipts and payments automatically clear all balances to zero, leaving no open accounts.

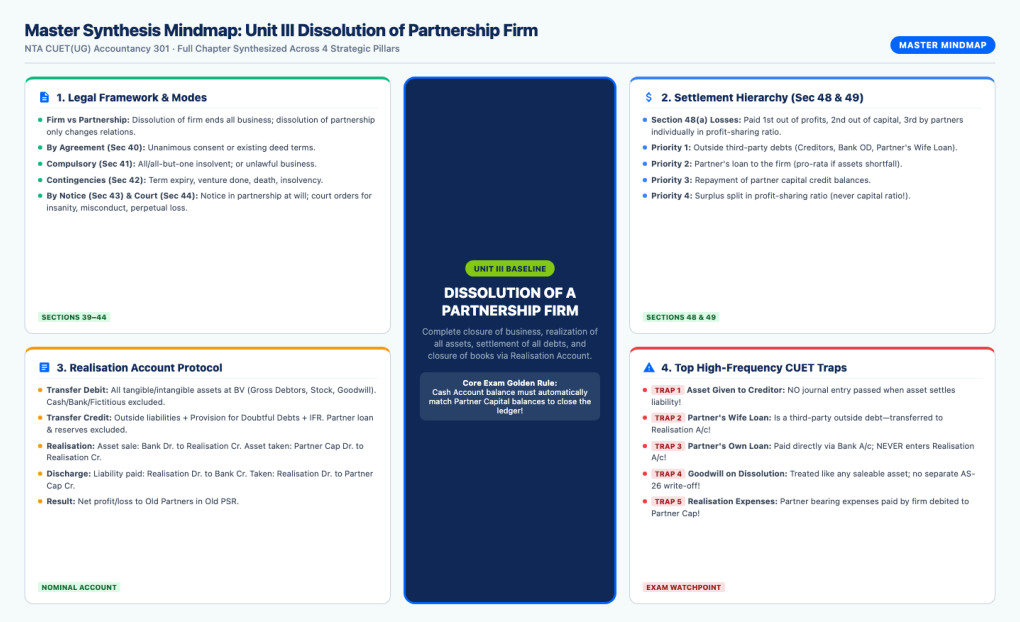


Figure 3: Master Synthesis Mindmap: Structural framework of Unit III Dissolution of Partnership Firm.

MASTER DISSOLUTION OF PARTNERSHIP REVISION CHEATSHEET

- **Sec 48 Loss Order:** 1st out of profits -> 2nd out of capital -> 3rd by partners in PSR.
- **Sec 48 Asset Order:** 1st Outside Debts -> 2nd Partner Loans -> 3rd Partner Capitals -> 4th Surplus in PSR.
- **Sec 49 Debt Priority:** Firm property pays Firm debts first; Private property pays Private debts first.
- **Realisation Transfer Debit:** All assets at Gross Book Value (Debtors gross, Goodwill, Plant). Excludes Cash, Bank, Fictitious Assets, Partner Loans.
- **Realisation Transfer Credit:** Outside debts + Provision for Debtors + IFR. Excludes Partner Capitals, Reserves, Partner Loans.
- **Creditor Asset Swap:** No entry when creditor accepts asset in full settlement. Cash differences debited/credited to Realisation A/c.
- **Partner's Wife Loan:** Outside debt transferred to Realisation A/c. Partner's own loan is settled directly through Bank A/c!
- **Goodwill on Dissolution:** Transferred to Realisation A/c Debit. If silent on realisation, realisable value is NIL.
- **Realisation Expenses:** Firm bears/Firm pays: `Realisation Dr. Bank Cr.` | Partner bears/Firm pays: `Partner Cap Dr. Bank Cr.`
- **Ledger Closure:** Bank/Cash Account balance must automatically equal net Partner Capital balances to close the books!

TOP 7 HIGH-FREQUENCY CUET TRAPS IN DISSOLUTION ACCOUNTING

1. **Creditor-Asset Swap Trap:** When an asset settles a liability, **zero entry** is passed! Do not debit Creditors or credit Realisation again.
2. **Partner Loan vs Relative Loan:** Wife/relative loans are **outside liabilities** transferred to Realisation A/c; partner's own loan is settled directly through Bank!
3. **Gross vs Net Debtors:** Transfer Debtors to Realisation debit at **Gross Book Value**. Credit Provision for Doubtful Debts separately on credit side!
4. **Dissolution Goodwill:** Goodwill is debited to Realisation A/c like any tangible asset; if silent on realisation, its realised value is **NIL**.
5. **Silent Liability Rule:** If an outside liability has no mention of realisation, it **must be paid in full at book value**!
6. **Realisation Expense Commission:** If a partner is paid a fixed fee to bear expenses, debit Realisation A/c with the **agreed fee only**.
7. **Surplus Distribution Ratio:** Residual surplus under Section 48(b)(iv) is divided strictly in **Profit-Sharing Ratio**, never capital ratio!

CUET UG Exam-Style Practice Questions

Q1. Which of the following statements correctly distinguishes dissolution of a partnership from dissolution of a partnership firm?

(A) Firm dissolution terminates the partnership firm completely
(B) Court can compulsorily order reconstitution
(C) Books of accounts are closed on reconstitution
(D) Business always continues on firm dissolution

Sol. Q1. Dissolution of the firm closes the business entity completely and terminates the partnership. Reconstitution merely changes internal relations while business continues.

Answer: (A)

Q2. Under Section 41 of the Indian Partnership Act, 1932, a partnership firm is compulsorily dissolved when:

(A) A partner gives 14 days' written notice
(B) All or all but one partner become insolvent
(C) A partner transfers interest to a third party
(D) The firm incurs continuous operating losses

Sol. Q2. Section 41 mandates compulsory dissolution if all partners (or all except one) are adjudicated insolvent, or if the firm's business becomes unlawful.

Answer: (B)

Q3. In a partnership at will, the firm may be dissolved by any partner by giving notice in writing of his intention to dissolve to:

(A) The Registrar of Firms
(B) The senior partner only
(C) All other partners
(D) The civil court

Sol. Q3. Under Section 43, in a partnership at will, any partner can dissolve the firm by giving written notice of dissolution to all other partners.

Answer: (C)

Q4. Under Section 48(a) of the Indian Partnership Act, 1932, losses including deficiencies of capital must be paid first out of:

(A) Profits of the firm
(B) Capital contributions of partners
(C) Private assets of partners in PSR
(D) Advances provided by partners

Sol. Q4. Section 48(a) lays down that losses and deficiencies of capital are paid first out of profits, next out of capital, and lastly by partners individually in their PSR.

Answer: (A)

Q5. Under Section 48(b), what is the correct statutory priority order for applying firm assets on dissolution?

(A) Capitals, Loans, Outside debts, Surplus
(B) Loans, Outside debts, Capitals, Surplus
(C) Outside debts, Partner loans, Capitals, Surplus
(D) Outside debts, Capitals, Loans, Surplus

Sol. Q5. Section 48(b) mandates: 1. Third-party outside debts, 2. Partner advances/loans rateably, 3. Partner capital balances rateably, 4. Surplus divided in PSR.

Answer: (C)

Q6. A firm holds a loan of ₹40,000 from partner A and a loan of ₹30,000 from A's wife. On dissolution of the firm:

(A) Both loans are transferred to Realisation A/c
(B) Wife's loan to Realisation; A's loan paid via Bank
(C) Both loans paid directly via Bank
(D) Partner A's loan is paid before Wife's loan

Sol. Q6. A loan from a partner's wife is an outside third-party debt transferred to Realisation A/c. A partner's own loan is an internal advance paid directly via Bank after outside debts.

Answer: (B)

Q7. Sundry Debtors stand at ₹80,000 with a Provision of ₹6,000 in the balance sheet. How are these transferred to Realisation A/c?

(A) Debit Realisation ₹80,000; Credit Realisation ₹6,000
(B) Debit Realisation with Net Debtors ₹74,000
(C) Debit Realisation ₹80,000; Credit Debtors ₹74,000
(D) Credit Realisation ₹80,000; Debit Provision ₹6,000

Sol. Q7. Debtors are debited to Realisation A/c at Gross Book Value (₹80,000), while Provision for Doubtful Debts is credited to Realisation A/c (₹6,000).

Answer: (A)

Q8. Goodwill appears in the balance sheet at ₹50,000 on the date of dissolution. In the accounting books, this goodwill is:

(A) Debited to Capital Accounts in old PSR
(B) Debited to Realisation A/c at book value
(C) Ignored because goodwill has zero value
(D) Credited to Realisation A/c at book value

Sol. Q8. On dissolution, goodwill appearing in the balance sheet is transferred to the Debit of Realisation Account at book value like any other commercial asset.

Answer: (B)

Q9. A creditor of ₹60,000 accepts machinery of book value ₹75,000 in full settlement of his claim. The journal entry passed is:

(A) Debit Realisation ₹60,000; Credit Machinery ₹60,000
(B) Debit Creditors ₹60,000; Credit Realisation ₹60,000
(C) Debit Realisation ₹15,000; Credit Gain ₹15,000
(D) No journal entry is passed

Sol. Q9. When an asset is accepted by a creditor in full satisfaction of their claim, no journal entry is passed because both items were already transferred to Realisation Account.

Answer: (D)

Q10. A creditor of ₹50,000 accepts furniture of ₹40,000 at ₹35,000 and the balance in cash. The journal entry for cash paid is:

(A) Debit Furniture ₹35,000; Credit Bank ₹35,000
(B) Debit Realisation ₹15,000; Credit Bank ₹15,000
(C) Debit Creditors ₹15,000; Credit Bank ₹15,000
(D) Debit Realisation ₹50,000; Credit Bank ₹15,000

Sol. Q10. Furniture takeover requires no entry. Cash balance paid is $50{,}000 - 35{,}000 = ₹15{,}000$, recorded as Realisation A/c Dr. ₹15,000 to Bank A/c Cr. ₹15,000.

Answer: (B)

Q11. Realisation expenses of ₹8,000 were to be borne by partner X, but were paid by the firm on his behalf. The journal entry is:

(A) Debit Realisation ₹8,000; Credit Bank ₹8,000 **(B)** Debit Realisation ₹8,000; Credit X Cap ₹8,000
(C) Debit X's Capital ₹8,000; Credit Bank ₹8,000 **(D)** No entry is passed in the firm's books

Sol. Q11. When a partner bears expenses but the firm pays cash on his behalf, the firm recovers the payment from the partner: X's Capital A/c Dr. ₹8,000 to Bank A/c Cr. ₹8,000.

Answer: (C)

Q12. Partner Y is appointed for dissolution at remuneration ₹10,000 and bears all expenses. Y pays ₹6,000 actual expenses. What entry is passed?

(A) Debit Realisation ₹10,000; Credit Y Cap ₹10,000 **(B)** Debit Realisation ₹16,000; Credit Bank ₹16,000
(C) Debit Realisation ₹6,000; Credit Y Cap ₹6,000 **(D)** Debit Realisation ₹4,000; Credit Y Cap ₹4,000

Sol. Q12. The firm only accounts for the agreed remuneration: Realisation A/c Dr. ₹10,000 to Y's Capital A/c Cr. ₹10,000. Y's personal payment requires no entry in firm books.

Answer: (A)

Q13. Assets transferred: ₹3,00,000; Liabilities transferred: ₹1,20,000; Assets realised ₹2,70,000; Liabilities paid ₹1,10,000; Expenses ₹5,000. Realisation result is:

(A) Profit of ₹25,000 **(B)** Loss of ₹25,000
(C) Loss of ₹35,000 **(D)** Profit of ₹15,000

Sol. Q13. Debits = 3,00,000 + 1,10,000 + 5,000 = ₹4,15,000. Credits = 1,20,000 + 2,70,000 = ₹3,90,000. Net Loss on Realisation = 4,15,000 − 3,90,000 = ₹25,000.

Answer: (B)

Q14. Under Section 49 of the Indian Partnership Act, 1932, the separate private property of any partner must be applied:

(A) First to firm debts, surplus to private debts **(B)** First to private debts, surplus to firm debts
(C) Equally between private and firm debts **(D)** Exclusively for capital contribution

Sol. Q14. Section 49 states that separate private property of a partner is applied first to discharge his separate private debts, and any surplus is applied to firm debts.

Answer: (B)

Q15. After all adjustments, solvent partner P's capital account exhibits a debit balance of ₹15,000. In final settlement, P will:

(A) Bring in ₹15,000 cash to settle deficiency **(B)** Receive ₹15,000 cash from the firm
(C) Have ₹15,000 written off to Realisation A/c **(D)** Transfer ₹15,000 to Partner's Loan A/c

Sol. Q15. A debit balance in a solvent partner's capital account represents a deficiency owed to the firm. P must bring in ₹15,000 cash (Bank A/c Dr. to P's Capital A/c).

Answer: (A)

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